



Inventory Management Policy

The purpose of this procedure is to provide guidance for the internal control, management, reporting and transfer (i.e. disposition) of project inventory. All property must be maintained in accordance with the operations and instructions manuals, and manufacturer recommendations.

In accordance with [2 CFR 200.33](#) and [2 CFR 200.94](#), POA defines inventory as follows:

- Equipment means tangible personal property (including information technology systems) having a useful life of more than one year and a per-unit acquisition cost which equals or exceeds USD \$10,000.
- Supplies means all tangible personal property other than those described in equipment (above). A computing device (e.g. computers) is a supply if the acquisition cost is less than USD \$10,000, regardless of the length of its useful life. However, the monetary value threshold for accounting of inventory items at POA (e.g. furniture, supplies, and fixtures) is USD \$100 USD per item. All items above this amount will not need to be recorded on the inventory tracker.

All staff are responsible for keeping the items under their direct responsibility (desks, chairs, computers, other office furnishings) safe and secure and using them in a proper manner. Upon receipt of goods, the Procurement Lead is responsible for ensuring all inventory as defined above, is recorded on the [Inventory & Equipment Listing Report template](#) and marked with the appropriate label (see [Section 10.1](#)). For subrecipients, the Grants Manager and/or the HO Director are responsible for ensuring that subrecipients are properly tracking and labeling goods. Note that fixed amount award subrecipients do not need to provide inventory list unless a milestone specifically states the delivery of equipment or assets, in which case only those goods are considered. For a cost reimbursable award subrecipient all items that meet the criteria must be reported on the inventory template. The F&A Director is responsible for ensuring compliance to this procedure, that all staff are trained on this procedure and supporting instructions, and that equipment is adequately insured.

10.1 Branding & Marking

Each physical asset with a value of \$100 and above must be marked with a unique identification number and labeled property of the donor immediately upon receipt. Each project should order a pre-number label booklet. All equipment and supplies valued at \$100 USD+ with a useful life of more than 1 year, must be labeled with a sticker in the following format: “Partners of the Americas COUNTRY – DONOR Funded: NAME OF PROGRAM Project AWARD NUMBER plus a unique inventory number. It should include the logo of POA and donor (if required by marking and branding plan). The marking and branding labels must follow the prime award requirements. Inventory labels should be placed in a discreet, but visible position on the item. Items shall not be grouped under the same inventory number. There are instances when labeling of assets is limited due to security reasons, and an exemption should be received from the donor.

10.2 Annual Inventory Reporting

Each POA requires all projects to conduct a physical inventory annually to determine that all property and equipment are properly accounted for, any changes in location are documented and any changes in status are documented. This must include all project offices and all subrecipient inventory (unless a disposition has been granted). The physical inspection /audit of all supplies and equipment (including subrecipients), and the results reconciled with accounting records must be completed at least once a year by January 31st using the [Inventory & Equipment Listing Report template](#). It is not acceptable to ask each staff member to inventory their own items. All projects must report any theft, loss, or damage to project property immediately to the HO Director/COP/PD and the Compliance Team.

For FO the report will be certified and signed by the F&A Director and approved by the COP/DCOP/PD. The report is sent to the HO Director with a copy to the Compliance Team. For HO, the report will be certified by the Administrative Officer and approved by the CFO. A copy is sent to the Compliance Team.

10.3 Disposition of Inventory

At the end of a project or during closedown the program team will have to prepare a disposition of inventory. The annual inventory report used as the basis for the disposition plan on project inventory. of the disposition of inventory, which is why it is critical to keep an updated and

accurate inventory list throughout the implementation. The program team will have to determine the best recipient organizations for the items or if the item should be retained by POA.

Typically, as part of the disposition process, the donor will require a determination of current fair market value for the inventory. To determine fair market value for inventory, POA uses a straight-line depreciation method. As part of the straight-line depreciation method, the program team will have to determine the useful life of each inventory item. For equipment the program team should follow the [IRS recommendations for useful life](#). For other supplies that are included on the inventory list POA should use the following categories:

- Furniture and Fixture - Useful life 8 years
- Office Equipment (printers, phone, scanners, projectors, televisions, etc.) - Useful life 4 years
- Computer equipment (laptops, tablets, desktop computers, etc.) - Useful life 4 years
- Computer software - Useful life 2 years
- Vehicles - Useful life 5 years

The formula for straight line depreciation should be $\text{Unit Price} / \text{Useful Life} \times (\text{Useful Life} - \text{Age in Years})$. This calculates the value of the item based on the number of useful years remaining in its useful life. When the formula results in a negative value, this means that the market value is equal to \$0. If a good is considered damaged and no longer usable, then POA should calculate only the salvage price. As a base POA, uses 10% as the salvage value for any good.